

Blinkit Surge Fee → Surge Coins

A loyalty-loop model that reframes surge-pricing friction into repeat purchases

Product concept: “The Surge Loop”

Product Management Case Study · Quick-commerce growth · Independent concept

1. Executive Summary

Quick-commerce platforms charge surge, handling and small-cart fees at peak demand. Operationally these are sound — they cover the real cost of serving a spike in orders. But they land on the customer at the worst possible instant: the moment before payment. The felt experience is not “I understand why I’m paying this”, it is “I’m being punished for ordering now” — and in a market where the next app is one tap away, that emotion drives cart abandonment and quiet switching to competitors.

This case study does not try to remove the surge fee. It reframes the moment around it. **The Surge Loop** keeps the fee, keeps the revenue, and returns 40% of it as time-bound *Surge Coins*. Redeemed on a future order — ideally off-peak, where delivery is faster and the network calmer — one purchase becomes the seed of the next.

The timing is deliberate. In 2025, competitors began *deleting* surge and handling fees to chase price-sensitive users — a margin-destroying race to the bottom. This concept is the opposite bet: *keep* the fee, but make it feel rewarding, defending revenue and loyalty at once rather than surrendering the revenue.

The concept is framed not as a problem to be fixed, but as an **overlooked opportunity**: the surge instant is the highest-intent moment in the whole session — the customer has already decided to buy and cash is already moving — yet today it produces nothing but resentment. Capturing it is almost free upside, *if the economics are disciplined*. This study argues those economics with a live, numbers-based model rather than assertion. **North-star metric: repeat purchase rate.**

2. Business Context

India’s quick-commerce market is a large, fast-growing near-duopoly-plus-one. Blinkit, Zepto and Swiggy Instamart together hold roughly 95% of the market, on a total addressable market estimated around \$45B. Growth is real but margins are brutal, and the three players price almost identically — which means no one wins durably on price.

Metric	Figure	Why it matters
Order frequency (regular user)	~3–4 / month (power users 30–40)	Frequency is elastic — real headroom for a repeat-purchase lever
Contribution margin per order (Blinkit)	(-10) to (+15), indicative	Razor-thin — every rupee given back must be earned back
Market structure	3 players, ~95% share, near-identical pricing	Nobody wins on price; loyalty is the real battleground
Blinkit position	Market leader; contribution-margin positive (2024)	Most surge volume to work with; room to fund a loyalty bet

Sources: order frequency & retention — Bank of America / JM Financial via TechCrunch (2024–25); contribution margin — indicative industry estimates (Board Infinity, 2025); market structure and leadership — Motilal Oswal / Business Standard / TechCrunch (2024–25). All third-party figures are directional analyst estimates; companies do not publish per-user frequency or per-order margin. Lean on the direction (thin margins, elastic frequency, price parity), not any single precise number.

3. The Observation & The Opportunity

The observation. The surge fee is rational for the business but generates an irrational feeling in the customer. It appears at the checkout — after the user has done all the work of building a cart — and reads as a penalty. That single emotion is where high-intent sessions leak: abandonment, delay, and defection to a competitor.

The reframe — opportunity, not problem. We deliberately do not treat this as damage to be repaired. The surge instant is a *money-moment that already happens*: the customer has decided to buy, and cash is already changing hands. It is the highest-intent moment in the session, and today it is wasted. The opportunity is to convert that instant of resentment into the seed of the next order — capturing value that is currently left on the table.

Note the logic carefully, because it is the defensible version: the pain is real, but instead of merely removing it, we *leapfrog* it into upside. Acknowledging the friction is the evidence the opportunity exists; the move is to monetise the moment, not to pretend checkout is already fine.

Why now. The timing sharpens the bet. Facing the same friction, competitors are choosing to *delete* fees to win price-sensitive users — Zepto has removed handling and surge charges outright, and Instamart has followed with cuts. That is a margin-destroying race to the bottom. The Surge Loop is the opposite move: *keep* the fee but make it feel rewarding — defending revenue *and* loyalty instead of surrendering both. For the market leader, converting the disputed fee into a retention asset is a stronger position than joining the price war.

3.1 Goals & North Star

North-Star Metric: Repeat purchase rate — the share of customers who return and order again within a defined window.

Chosen because the entire mechanic exists to turn one purchase into two. It maps directly to GMV in a frequency-driven business, and it is the honest measure of whether the credit actually changed behaviour.

Supporting metrics: surge-order conversion / abandonment (should improve), off-peak order share (should rise as credits steer demand), credit redemption rate, and *incrementality* of redeemed credits (the true test — see Economics).

Guardrail metrics: contribution margin per order (must not be eroded below the break-even line), and credit liability on the balance sheet (must stay bounded via expiry and caps).

4. Research

Secondary research (completed). Industry data establishes the setup: elastic order frequency with large headroom, razor-thin per-order margins, a three-player market at price parity, and Blinkit leading while being mature enough (contribution-margin positive) to fund a loyalty bet. This confirms the strategic logic — on identical pricing, behavioural loyalty, not price, is the durable lever.

Primary research (proposed). Before build, validate the core assumptions: funnel analysis of abandonment at the surge-fee step; user interviews on the felt experience of surge ("punished" vs. "understood");

an in-app micro-survey at abandonment to size "fees" as a reason; and a competitive teardown (notably Instamart's wallet top-up — see Differentiation).

4.1 Target Segments — and who should *not* be targeted

The program is **universally eligible** — everyone who pays surge earns credits, with no visible tiers a loyal customer could discover and resent. However, the *economic return* concentrates asymmetrically:

- **Highest return — lapsing / infrequent users.** A credit is most likely to *cause* a genuinely new order here (high incrementality).
- **Lowest direct return — loyal daily users.** They would order anyway, so their redemptions are not incremental. Critically, this is *not* treated as leakage to be prevented: their credits are reframed as **retention spend** — margin well spent keeping the stickiest customers from switching, at the exact moment a competitor is trying to poach them.

This resolves a real trap: discriminating against loyal users (denying them credits) would be discoverable, unfair, and damaging. Universal fairness with asymmetric returns is both the ethical and the economically correct design.

5. Insights

1. **Loss aversion (behavioural economics).** People dislike the *feeling of losing* money more than the amount itself. 30 filed as a "fee" registers as pure loss; the same 30 paired with something received back registers as an exchange. We change the mental category, not the price.
2. **Incrementality is the whole game.** A redeemed credit only creates value if it drove an order that would not otherwise have happened. Redemptions by users who'd have ordered anyway are cost, not gain. This single idea drives targeting, measurement, and the go/no-go on the whole program.
3. **Off-peak margin is structurally higher.** Off-peak orders cost less to serve (no surge rider pay, better batching, full stock), so contribution margin is fatter off-peak than at peak. Steering redemption off-peak lands new orders in the window where each is worth most — while easing peak strain.
4. **A restricted reward feels like a trap.** "Coins usable off-peak only" reads as strings attached. We avoid that entirely: coins are worth the same anytime, and off-peak is simply the *better experience* to spend them on — faster delivery, no surge, full stock. The user is drawn to off-peak by genuine benefit, not forced to it by a rule — while Blinkit still gains the demand-shift and its fatter off-peak margins.

6. Hypothesis

If we return 40% of the surge fee as time-bound Surge Coins redeemable on a future order, **then** repeat purchase rate rises and surge-moment defection falls, **because** the friction driving abandonment is the *feeling* of an unfair penalty — and converting that penalty into recoverable value both softens the emotion and creates a concrete reason to return.

Falsifiable by design: if credits are redeemed but the redemptions are not incremental (they'd have happened anyway), the program loses money and the hypothesis fails. The Economics section makes that test explicit.

7. Why Blinkit — and not Zepto or Instamart

A credit-loyalty loop needs three things at once: the most surge volume to work with, the financial room to fund it, and the infrastructure to run a ledger. Blinkit is the only player with all three.

Player	Fit for the Surge Loop
Blinkit (<i>best fit</i>)	Market leader — the most surge orders to monetise. Contribution-margin positive (2024), so it can afford to invest a sliver of margin in loyalty. Backed by Eternal (Zomato): an existing payments, loyalty and cross-app ecosystem to hang a credit ledger on.
Zepto (<i>weaker</i>)	Competes on lowest burn / price. A credit liability cuts against that “cheapest, leanest” positioning; as a standalone it lacks a wider ecosystem to absorb and cross-sell credits.
Instamart (<i>weaker</i>)	A feature inside a food-delivery app, not a standalone q-commerce brand. Attention and loyalty budget are split with restaurants; a grocery-specific surge loop is harder to prioritise and isolate.

The strategic point: on near-identical pricing, Blinkit cannot win by being cheaper — Zepto will match or undercut. The durable moat is the *relationship*. The Surge Loop turns the one moment that today pushes customers toward the competitor into the moment that pulls them back. For the leader defending a lead, that is worth more than a discount.

8. Solution & Scope

8.1 One product, two layers

Layer 1 — Transparency. Show the full, honest breakdown before checkout: real-time total payable, every fee named plainly, no last-screen surprises. Trust is the precondition — a credit only feels like a gift if the fee beside it feels fair. (Crucially, the fee is *not* renamed to sound noble; renaming a fee while changing nothing is a dark pattern and a regulatory risk. We keep it honest and add real value beside it.)

Layer 2 — The Surge Loop. Return 40% of the surge fee as time-bound *Surge Coins*, redeemable on a future order. Off-peak redemption is encouraged not by a restriction or a bigger payout, but by genuine benefit: off-peak means faster delivery, no surge and full stock. The customer is drawn there because it is the better experience; Blinkit gains demand-balancing and its fattest margins.

8.2 The mechanic — the rules (v1)

The reward is deliberately simple enough to explain in one sentence and to advertise on the checkout screen:

- **Earn:** 40% of the surge fee as Surge Coins. The ratio (not a flat amount) means it scales with the fee and keeps break-even constant — a 30 surge returns 12, a 50 surge returns 20, a 20 surge returns 8. (Blinkit’s observed surge range is ~20–50, with no publicly disclosed hard cap.)
- **Validity:** 7 days from the date earned — tuned to the regular user’s natural ~7–10 day order cycle, so a coin catches the *next* order rather than becoming a forgotten long-term liability.
- **Daily earning cap:** maximum 50 of Surge Coins per calendar day (resets at midnight, not a rolling window). Invisible to real users (who order 3–4 times a *month*), lethal to farming, and it bounds liability. Partial credit applies at the boundary — e.g. if 35 is already earned and a 25 coin is triggered, only 15 is credited to reach the 50 cap.

- **Redemption:** on eligible grocery orders (a minimum basket, ~149). This is invisible to the ~600 average basket, but ensures every redeemed coin rides a real order carrying real margin — which is what the economics below depend on.
- **Non-transferable** and account-bound — coins cannot be pooled across accounts.
- **Expiry reminder:** a push notification one day before a coin expires, so earned value is not silently lost.

8.3 Frameworks applied

Loss aversion (Kahneman–Tversky). The core lever: reframing a loss (fee) as an exchange (fee + recoverable value) changes behaviour without changing price.

Unit-economics / incrementality modelling. The program is treated as an investment with a break-even condition, not a feature. The Economics section models it explicitly and identifies exactly when it profits or loses.

Hook Model (Nir Eyal). The mechanic is deliberately built as a habit loop, which is why it targets the repeat-purchase north star: the expiry reminder is the *Trigger*; one-tap redemption at checkout is the *Action*; the discount plus a faster, calmer off-peak delivery is the *Reward*; and coins accumulating toward the 50/day ceiling, plus the learned habit of returning, is the *Investment* that makes the next loop more likely.

8.4 Competitive differentiation — vs. Instamart’s wallet top-up

Swiggy Instamart already lets users top up a wallet to cross a free-delivery threshold — validating the underlying insight that converting a checkout-friction moment into stored value drives return visits. But it is a different, and narrower, mechanic:

- **Cash direction.** Instamart is *customer-funded* (the user pays *more* now); the Surge Loop is *platform-funded* (value returned). Theirs has better raw economics; ours has near-zero friction.
- **The ask.** Instamart requires an active decision (“add money”), so adoption is limited to users near the threshold. The Surge Loop is automatic — the user does nothing and receives something.
- **The moment.** Instamart addresses a mild small-cart inconvenience. The Surge Loop addresses the surge instant — the moment customers actively consider *leaving*. That is the more valuable problem.
- **Regulatory footprint.** Stored-value wallets holding real customer cash fall under RBI prepaid-instrument rules; promotional credits never purchased with cash generally sit on a lighter path. (*Directional — specifics to be verified before build.*)

8.5 Prioritisation — Impact vs. Effort

Every v1 rule was chosen against alternatives, scored on impact (on the north star and on the economics) versus effort to build:

Decision	Impact	Effort	Verdict
40% credit (not a full refund)	High	Low	Build (v1)
Flat 7-day validity	High	Low	Build (v1)
50/day earning cap	High	Low	Build (v1)
Minimum-basket redemption	High	Low	Build (v1)
Expiry reminder, 1 day before	High	Low	Build (v1)
AI-timed, personalised reminders	High	High	Later
ML velocity fraud detection	Med	High	Later
Amount-scaled validity	Low	Med	Later
Dynamic personalised coin values	High	High	Later
Stored-cash wallet	Med	High	Rejected — RBI prepaid-instrument weight
One credit per order	Low	Low	Rejected — adds a rule without adding protection

Everything in v1 is high-impact and low-effort because it either protects the economics (cap, minimum basket) or drives the loop (reminder). Everything deferred needs real post-launch data to tune, and would be guesswork at launch.

8.6 Scope

In: transparent fee breakdown; surge-fee → Surge Coins at 40%; 7-day validity; 50/day earning cap; minimum-basket redemption; non-transferable coins; one-day expiry reminder.

Out (v1): tiered/dynamic coin values and streak mechanics; amount-scaled validity; ML-based fraud detection; a stored-cash wallet (regulatory weight); any renaming of the fee itself. (All parked in Future Enhancements.)

8.7 Anti-exploit — can users farm coins?

The obvious attack is farming: place many tiny surge orders, collect coins, stack them later. It is defended in layers, and the first layer is simply arithmetic:

- **The surge fee makes farming a losing trade.** To earn a 12 coin the user must pay a 30 surge fee — losing 18 to gain 12. Farming is unprofitable *by construction*.
- **Structural shields (v1):** the 50/day earning cap bounds the ceiling; the minimum-basket redemption forces every coin onto a real order; non-transferability blocks multi-account pooling; 7-day expiry prevents hoarding for a single redemption spree.
- **Behavioural detection (Future Enhancement):** velocity / anomaly scoring on clustered signals (order frequency, repeated address, payment method, device, surge-window concentration). Credit is suppressed or held only when *multiple* signals fire together — so the 99% of honest users never feel it. This is trained on real post-launch data, not guessed at launch.

9. The Economics — a live model

The concept reduces to one question: does the margin from *incremental* orders outweigh the cost of *all* redeemed credits? The model below (mirrored by an interactive calculator in the companion web version) makes the answer testable. All figures are illustrative and use conservative, thin-margin assumptions.

9.1 Base-case assumptions (per 100 surge orders)

Assumption	Value
Credit returned per surge order	12
Off-peak contribution margin per redeemed order	25
Incrementality of redeemed credits	55%
Breakage (credits that expire unused)	35%

9.2 Base-case P&L (per 100 surge orders)

Line	Calculation	Amount
Credits redeemed (65% of 100)	65 credits	—
Incremental orders (55% of 65)	35.75 orders	—
Margin from incremental orders	35.75×25	+894
Cost of all redeemed credits	65×12	−780
Expired credits (breakage)	35×0	0
Net contribution		+114

The break-even line. The model reduces to a single condition: break-even incrementality = credit ÷ margin = $12 \div 25 = 48\%$. As long as more than ~48% of redeemed credits drive genuinely incremental orders, the program profits; below it, it bleeds. At the base-case 55%, it clears the bar — modestly, honestly, and defensibly.

9.3 Sensitivity — net contribution per 100 surge orders

At credit 12 and off-peak margin 25, varying incrementality (across) and breakage (down):

	Incr. 40 %	Incr. 60 %	Incr. 80 %
Breakage 30 %	−140	+210	+560
Breakage 45 %	−110	+165	+440
Breakage 60 %	−80	+120	+320

Read across versus down: **incrementality moves the result far more than breakage.** That is the central design finding — the program must be engineered to *cause* new orders (target lapsing users, steer redemption off-peak), *not* to rely on customers forgetting their rewards. Breakage is a cushion, never the engine; designing for it would be fragile and user-hostile.

10. Wireframes

Screens illustrate the concept layered onto the existing Blinkit checkout; only the new transparency and credit elements are added.

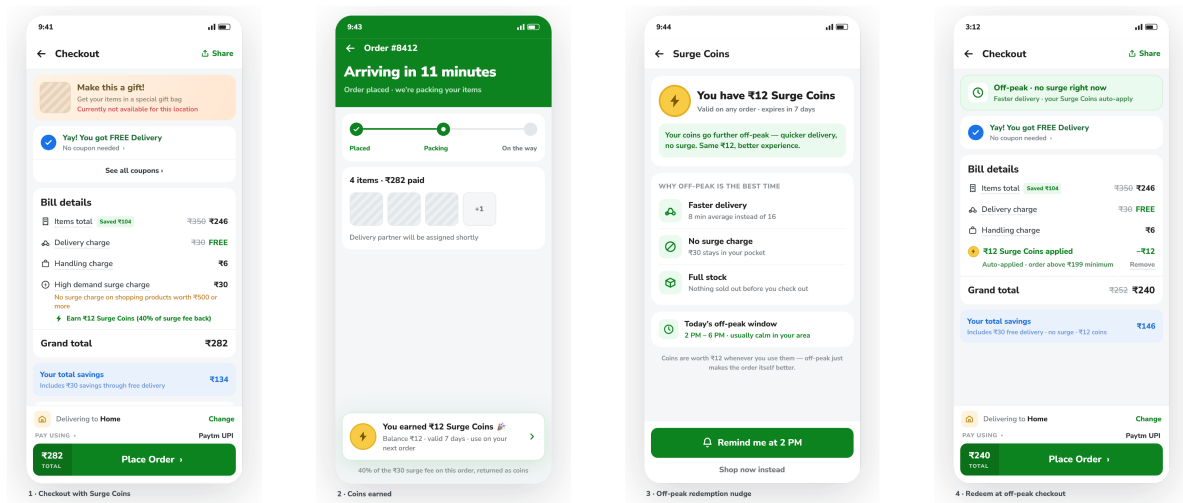


Figure 1: Left to right — (1) transparent checkout with the honest bill and “earn 12 Surge Coins”; (2) coins earned on the surge order; (3) off-peak redemption nudge (same value, better experience); (4) redeeming at a future off-peak checkout.

Screen notes. *S1*: the real Blinkit bill, fee named honestly, “earn 12 Surge Coins (40% back)” as the only addition. *S2*: lightweight confirmation reframing the fee as value returned. *S3*: off-peak framed as faster delivery / no surge / full stock — benefit, not a rule, and no inflated coin value. *S4*: coins auto-applied at an off-peak checkout above the 199 minimum basket. *S5*: balance, 7-day expiry, daily-cap progress, and the promotional-credit disclaimer. *S6* vs *S7*: the v1 reminder is generic; the v2 reminder is AI-personalised to the user’s habitual grocery day with a recommended item — the before/after that motivates the AI enhancement.

11. User Journey

Current state (the leak):

Peak evening → builds cart → checkout shows surge fee → feels penalised → abandons, delays, or switches to a competitor.

Future state (the loop):

Peak evening → builds cart → transparent checkout shows surge fee *plus* “earn 12 Surge Coins (40% back)” → completes order, feeling it gained something → within 7 days, a reminder nudges redemption → returns and reorders off-peak (faster delivery, no surge) → repeat purchase, at Blinkit’s best margin.

The moment that used to end the relationship now begins the next order.

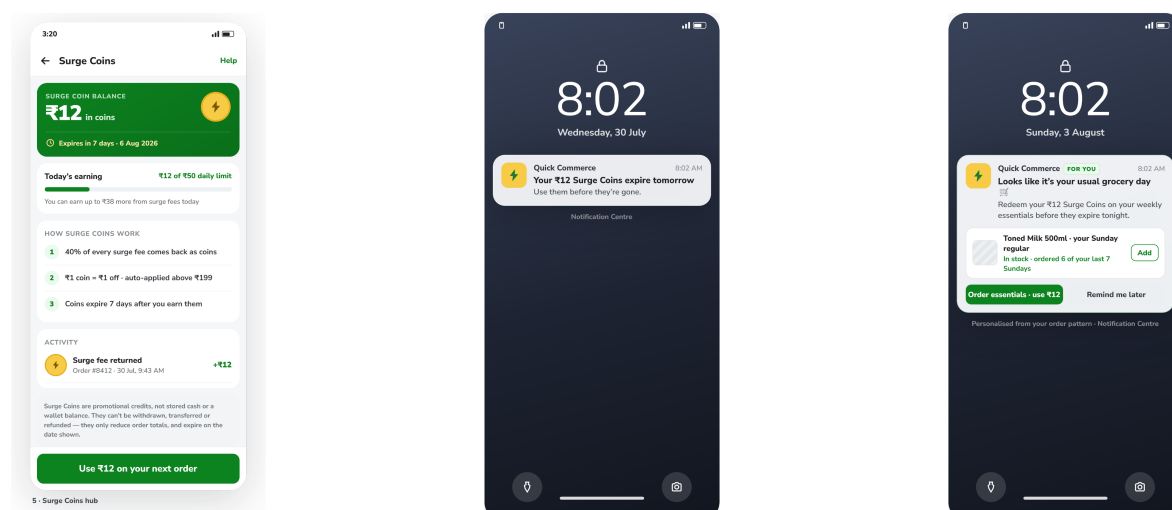


Figure 2: Left to right — (5) the Surge Coins hub (balance, 7-day expiry, 50/day cap, promotional-not-cash disclaimer); (6) basic expiry reminder (v1); (7) AI-personalised expiry reminder (v2) — habit-timed, contextual, with a product suggestion.

12. Success Metrics

Tier	Metric	Direction
North star	Repeat purchase rate	↑ (core goal)
Supporting	Surge-order abandonment	↓
Supporting	Off-peak order share	↑ (demand steered)
Supporting	Credit redemption rate	establish baseline; grow
Supporting	Incrementality of redemptions	> break-even (~48%)
Guardrail	Contribution margin / order	hold above break-even
Guardrail	Outstanding credit liability	bounded (expiry + caps)

Measurement: the honest test of incrementality is a holdout — credits to a treatment group, nothing to a matched control, and the *difference* in return orders is the true incremental effect. Read repeat-purchase over a 30–60 day window.

13. Business Impact — illustrative projections

The unit economics are modest by design (~1.14 net contribution per surge order at base case). Applied across a leader's daily surge volume, it compounds:

Driver	Illustrative value
Net contribution per surge order	+1.14
Surge orders / day (assumed)	500,000
Daily incremental contribution	~5.7 lakh
Annualised (×365)	~20.8 crore

What this is — and isn't: the *per-order* figure is the defensible core; the annual figure is an order-of-magnitude illustration to show materiality, not a forecast (real surge-volume splits are internal data). Beyond direct contribution, the loop lifts the north star (repeat purchase rate) and delivers three effects the calculator does not capture: **retention** (the surge moment stops pushing customers to Zepto), **demand-balancing** (off-peak redemption eases peak strain), and **higher-margin redemption baskets** (a minimum-basket credit rides a real order, often lifting AOV).

14. Trade-offs, Risks & Guardrails

- **Thin margins bite.** Generous credits against low off-peak margin push break-even incrementality out of reach. *Contain:* keep credits modest; tune with the model.
- **Peak-demand contradiction.** A short-fuse credit could pull people back onto the *next* peak. *Contain:* off-peak is made the more attractive time to redeem through genuine benefit (faster delivery, no surge, full stock), which steers load without inflating the coin's value.
- **Dark-pattern perception.** Renaming a fee to sound noble invites regulatory and trust risk. *Contain:* keep the fee honestly labelled; add value beside it, don't disguise it.
- **Gaming.** Chaining credits for stacked discounts. *Contain:* the 50/day earning cap, minimum-basket redemption, 7-day expiry, and non-transferable account-bound coins.
- **Universal eligibility vs. leakage.** Loyal users redeem non-incrementally. *Reframe:* that is retention spend, not waste — and universal fairness protects trust.

15. Future Enhancements

1. **AI-timed expiry reminders.** Send the one-day-before nudge at each user's habitual order time (User A orders ~8 PM → remind 7:30 PM; User B ~7 AM → remind 6:45 AM), respecting quiet hours and frequency caps so the nudge helps rather than spams.
2. **AI-personalised reminder content.** Instead of "Your 22 Surge Coins expire tomorrow," generate context: "Running low on groceries? Use your 22 Surge Coins on your weekly essentials before they expire tonight" — and recommend relevant products from past orders.
3. **Amount-scaled validity.** Give larger coins slightly longer windows — tuned from real breakage data, not guessed at launch.
4. **ML velocity / anomaly fraud detection.** The behavioural backstop against organised farming, trained on real post-launch redemption patterns (see Anti-exploit).
5. **Dynamic, personalised coin values.** Size the coin to each user's predicted incrementality — spend more where it changes behaviour, less where it wouldn't.
6. **Cross-app coins (Eternal ecosystem).** Coins that flex across Blinkit and sibling apps — a moat no standalone competitor can match.

16. Conclusion — and the bigger pattern

On near-identical pricing and razor-thin margins, Blinkit cannot out-discount its rivals — so the durable lever is loyalty, not price. The surge fee, today a defection trigger, is an overlooked money-moment sitting in plain sight. **The Surge Loop** keeps the fee, returns 40% of it as time-bound Surge Coins, and profits precisely where those coins cause genuinely new orders — so it targets reactivation, draws redemption to high-margin off-peak windows, and keeps the coin small. Universal fairness, asymmetric returns, demand steered the right way.

The insight generalises — any platform charging a friction fee at a high-intent moment (ride-hailing surge, delivery peak fees) sits on the same opportunity, and Instamart's wallet top-up shows the direction is real. But *generalisable is not portable*: the mechanic only pays where margins, scale and loyalty infrastructure align — which is the whole argument for building it on Blinkit first. The principle travels; the profitable execution is specific.

Economic model is illustrative and assumption-driven; a companion interactive calculator lets reviewers stress-test it. Third-party figures are directional analyst estimates (BoFA, JM Financial, Goldman, Motilal Oswal, Board Infinity; via TechCrunch / Business Standard, 2024–25). Independent concept, not affiliated with or endorsed by Blinkit / Eternal Limited.